Microsoft Corporation — Form 10-K (FY2025) — Sample Excerpt

Condensed sample excerpt for RAG demo — headline figures are from the cited SEC filing; narrative is abbreviated/paraphrased.

Item 1. Business

Microsoft Corporation develops and supports software, services, devices and solutions. The Company reports in three segments: Productivity and Business Processes (including Microsoft 365 and LinkedIn), Intelligent Cloud (including Azure and server products), and More Personal Computing (including Windows, devices, gaming and search).

For fiscal year 2025 (ended June 30, 2025), total revenue was $281.7 billion and net income was $101.8 billion. Growth was led by the Intelligent Cloud segment, with Azure and other cloud services the largest contributor to revenue growth.

Item 1A. Risk Factors

The Company faces intense competition across all markets, including from companies investing heavily in artificial intelligence and cloud computing. Significant investment in datacenters and AI infrastructure increases capital expenditures and depreciation, and demand may not materialize as anticipated. Cybersecurity threats to the Company's products and cloud services are persistent and evolving, and a significant breach could damage reputation and results.

The Company is subject to increasing regulatory scrutiny worldwide, including competition, privacy and AI-related regulation. Acquisitions, including in gaming, carry integration and regulatory risk.

Item 7. Management's Discussion and Analysis

Revenue increased year over year, led by Intelligent Cloud and driven by growth in Azure. Operating margins reflected continued investment in cloud and AI capacity, including elevated capital expenditures for datacenters and AI accelerators. The Company continued to return capital to shareholders while prioritizing investment in its cloud and AI platform.